Block practice · Ratio analysis

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Ratio formulas and how to calculate them

Evaluating profitability using ratios

Liquidity and working capital

OLevels.com SCHOOL

Practice workbook · Ratio formulas and how to calculate them

Stating the formulas for the profitability and liquidity ratios in the specification and calculating them from statement figures.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-07

1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

OLevels.com SCHOOL

1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

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1. Question 2 · part b.i · 4 marks

2024 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b.i only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

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(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

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1. Question 2 · part b.i · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

1 Dina, a manufacturer, prepared the following **incorrect** manufacturing account for the year ended 31 March 2022 from the **correct** balances in her trial balance.

Dina
Manufacturing account for the year ended 31 March 2022

	$	$
Revenue	385 000	
Depreciation charge – plant and machinery	11 200	
		373 800
Cost of sales		
Inventory of raw materials 31 March 2022	10 400	
Carriage outwards	360	
	10 040	
Purchases of raw materials	98 400	
Inventory of raw materials 1 April 2021	(9 640)	
		(98 800)
Prime cost		275 000
Factory overheads		
Royalties	1 780	
Insurance	4 000	
Electricity	9 750	
Factory rent	14 000	
Direct wages	38 400	
Indirect wages	(25 700)	
		(42 230)
Work in progress at 31 March 2022	4 430	
Work in progress at 1 April 2021	(4 200)	
Inventory of finished goods at 31 March 2022	5 850	
Inventory of finished goods at 1 April 2021	(6 750)	(670)
Production cost		232 100

Additional information

- No adjustment had been made for indirect wages owing of $1 300 and factory rent paid in advance of $2 000
- The depreciation charge did not include a full year's depreciation charge on a new machine costing $30 000. Machinery is depreciated at the rate of 20% per annum using the straight line method.
- Insurance and electricity should have been apportioned 80% to the factory and 20% to administration.

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2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

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(a) (i) Prepare the **corrected** manufacturing account for the year ended 31 March 2022.

(13)

Dina
Manufacturing account for the year ended 31 March 2022

OLevels.com SCHOOL

2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

(ii) Prepare the income statement for the year ended 31 March 2022 showing the **trading section** only.

(4)

Dina
Income statement for the year ended 31 March 2022

Dina stated that she did not have a successful year as her gross profit percentage decreased by 5%.

The following ratios were also available.

Ratio	31 March	
	2021	2022
Profit for the year as a percentage of revenue	7.56%	8.93%
Return on capital employed	14.85%	16.67%

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2. Question 1 · part b.i · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

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(b) (i) State the formula for **each** ratio.

(3)

Ratio	Formula
Gross profit percentage	
Profit for the year as a percentage of revenue	
Return on capital employed	

(ii) Evaluate whether Dina is correct in her view that she did not have a successful year.

(5)

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(Total for Question 1 = 25 marks)

OLevels.COM — SCHOOL —

2. Question 1 · part b.i · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part c.i · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c.i only.

1 (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

(6)

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages – production staff				
Wages – office staff				
Wages – factory supervisor				
Carriage outwards				
Decrease in provision for irrecoverable debts				
Royalties paid				

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

	$
Capital Accounts	
Bella	50 000
Chand	50 000
Current Accounts	
Bella	10 500
Chand	3 450
Property, plant and equipment	
Cost	65 000
Provision for depreciation	18 050
Provision for irrecoverable debts	380
Bank	4 775
Inventory	38 800
Other payables	430
Petty cash	125
Trade payables	3 490
Trade receivables	27 600

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3. Question 1 · part c.i · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c.i only.

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(b) Prepare the statement of financial position at 30 September 2022.

(12)

Bella and Chand
Statement of financial position at 30 September 2022

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3. Question 1 · part c.i · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c.i only.

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula	2021	2022
Profit for the year as a percentage of revenue		15%	18%
Return on capital employed		7%	5%

(ii) Evaluate the change in profitability from 2021 to 2022.

(5)

OLevels.COM SCHOOL

(Total for Question 1 = 25 marks)

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3. Question 1 · part c.i · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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4. Question 2 · part e · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

The partners provided the following information for the year ended 31 December 2022.

Ratio	Actual percentage	Budgeted percentage
Gross profit percentage	50%	60%
Profit for the year as a percentage of revenue	25%	20%

The partners believe that overall profitability has exceeded their expectations.

(d) Evaluate whether the partners are correct that profitability has exceeded their expectations.

(5)

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(e) State **one other** profitability ratio.

(1)

(Total for Question 2 = 25 marks)

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4. Question 2 · part e · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

OLevels.com SCHOOL

(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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5. Question 1 · part f.i · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part f.i only.

(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

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(Total for Question 1 = 25 marks)

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5. Question 1 · part f.i · 2 marks · Working and answer

Working and answer

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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6. Question 2 · part c.i · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part c.i only.

(ii) Evaluate whether the partners are correct that liquidity has improved.

(5)

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(Total for Question 2 = 25 marks)

6. Question 2 · part c.i · 2 marks · Working and answer

Working and answer

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Practice workbook · Evaluating profitability using ratios

Interpreting movements in profitability ratios over two or three periods, suggesting causes and reaching a judgement on performance or on someone's claim.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-08

1. Question 1 · part c.ii · 5 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part c.ii only.

1 (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

(6)

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages – production staff				
Wages – office staff				
Wages – factory supervisor				
Carriage outwards				
Decrease in provision for irrecoverable debts				
Royalties paid				

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

	$
Capital Accounts	
Bella	50 000
Chand	50 000
Current Accounts	
Bella	10 500
Chand	3 450
Property, plant and equipment	
Cost	65 000
Provision for depreciation	18 050
Provision for irrecoverable debts	380
Bank	4 775
Inventory	38 800
Other payables	430
Petty cash	125
Trade payables	3 490
Trade receivables	27 600

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1. Question 1 · part c.ii · 5 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part c.ii only.

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(b) Prepare the statement of financial position at 30 September 2022.

(12)

Bella and Chand
Statement of financial position at 30 September 2022

OLevels.COM SCHOOL

P 6 5 8 8 7 A 0 3 0 8

1. Question 1 · part c.ii · 5 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part c.ii only.

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula	2021	2022
Profit for the year as a percentage of revenue		15%	18%
Return on capital employed		7%	5%

(ii) Evaluate the change in profitability from 2021 to 2022.

(5)

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(Total for Question 1 = 25 marks)

1. Question 1 · part c.ii · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 2 · part c · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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2. Question 2 · part c · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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2. Question 2 · part c · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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2. Question 2 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

OLevels.com SCHOOL

3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

.....

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OLevels.com SCHOOL

3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

The partners believe that they had a very successful year as the profit for the year as a percentage of revenue has increased.

	2019	2020
Gross profit percentage	25%	25%
Profit for the year as a percentage of revenue	12%	15%
Return on capital employed	13.5%	10%

(c) Evaluate the change in profitability of the business over the two years and state whether the partners are correct.

(5)

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OLevels.com SCHOOL

3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) State, indicating with a tick, (✔), the effect on working capital of **each** of the following transactions.

(6)

Transaction	Increase	Decrease	No effect
Purchase of a non-current asset by cash			
Sale of a non-current asset on credit			
Non-current asset taken by owner for own use			
Purchase of inventory on credit			
Sale of inventory for cash			
Inventory taken by the owner for own use			

(Total for Question 2 = 25 marks)

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3. Question 2 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

1 Leo, a manufacturer, provided the following information for the year ended 31 March 2021.

	1 April 2020 $	31 March 2021 $
Premises		
Cost	500 000	500 000
Accumulated depreciation	100 000	**To be calculated**
Plant and machinery		
Cost	250 000	250 000
Accumulated depreciation	90 000	**To be calculated**
Inventory		
Raw materials	56 000	44 000
Work in progress	64 000	68 400
Finished goods	108 000	112 000
Carriage inwards on raw materials		1 300
Carriage outwards		2 100
Direct wages		82 400
Electricity		18 000
Factory insurance paid		9 000
Indirect factory expenses		79 500
Indirect wages paid		83 650
Other payables – indirect wages		1 350
Other receivables – factory insurance		500
Purchases of raw materials		167 500
Returns inwards		12 000
Returns outwards		17 500
Revenue		630 000
Royalties		15 000

Plant and machinery is depreciated at 20% per annum using the reducing balance method.

Premises are depreciated at 10% per annum using the straight line method.

Both electricity and depreciation on premises are apportioned 75% to the factory.

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4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

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(a) Prepare the manufacturing account for the year ended 31 March 2021.

(15)

Leo
Manufacturing account for the year ended 31 March 2021

OLevels.COM SCHOOL

4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

(b) Prepare an extract of the income statement for the year ended 31 March 2021 showing the **trading section** only.

(5)

Leo
Income statement for the year ended 31 March 2021

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4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

Leo believes that an increase in revenue for this year has led to an improvement in profitability, even though both his gross profit percentage and return on capital employed percentage have decreased.

(c) Evaluate whether Leo is correct.

(5)

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(Total for Question 1 = 25 marks)

4. Question 1 · part c · 5 marks · Working and answer

Working and answer

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5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

1 Dina, a manufacturer, prepared the following **incorrect** manufacturing account for the year ended 31 March 2022 from the **correct** balances in her trial balance.

Dina
Manufacturing account for the year ended 31 March 2022

	$	$
Revenue	385 000	
Depreciation charge – plant and machinery	11 200	
		373 800
Cost of sales		
Inventory of raw materials 31 March 2022	10 400	
Carriage outwards	360	
	10 040	
Purchases of raw materials	98 400	
Inventory of raw materials 1 April 2021	(9 640)	
		(98 800)
Prime cost		275 000
Factory overheads		
Royalties	1 780	
Insurance	4 000	
Electricity	9 750	
Factory rent	14 000	
Direct wages	38 400	
Indirect wages	(25 700)	
		(42 230)
Work in progress at 31 March 2022	4 430	
Work in progress at 1 April 2021	(4 200)	
Inventory of finished goods at 31 March 2022	5 850	
Inventory of finished goods at 1 April 2021	(6 750)	(670)
Production cost		232 100

Additional information

- No adjustment had been made for indirect wages owing of $1 300 and factory rent paid in advance of $2 000
- The depreciation charge did not include a full year's depreciation charge on a new machine costing $30 000. Machinery is depreciated at the rate of 20% per annum using the straight line method.
- Insurance and electricity should have been apportioned 80% to the factory and 20% to administration.

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5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(a) (i) Prepare the **corrected** manufacturing account for the year ended 31 March 2022.

(13)

Dina
Manufacturing account for the year ended 31 March 2022

OLevels.com SCHOOL

5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(ii) Prepare the income statement for the year ended 31 March 2022 showing the **trading section** only.

(4)

Dina
Income statement for the year ended 31 March 2022

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Dina stated that she did not have a successful year as her gross profit percentage decreased by 5%.

The following ratios were also available.

Ratio	31 March	
	2021	2022
Profit for the year as a percentage of revenue	7.56%	8.93%
Return on capital employed	14.85%	16.67%

5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(b) (i) State the formula for **each** ratio.

(3)

Ratio	Formula
Gross profit percentage	
Profit for the year as a percentage of revenue	
Return on capital employed	

(ii) Evaluate whether Dina is correct in her view that she did not have a successful year.

(5)

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(Total for Question 1 = 25 marks)

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5. Question 1 · part b.ii · 5 marks · Working and answer

Working and answer

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The partners provided the following information for the year ended 31 December 2022.

Ratio	Actual percentage	Budgeted percentage
Gross profit percentage	50%	60%
Profit for the year as a percentage of revenue	25%	20%

The partners believe that overall profitability has exceeded their expectations.

(d) Evaluate whether the partners are correct that profitability has exceeded their expectations.

(5)

(e) State **one other** profitability ratio.

(1)

(Total for Question 2 = 25 marks)

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6. Question 2 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

(c) Prepare the statement of financial position at 31 March 2025.

Ruhi
Statement of Financial Position at 31 March 2025

(10)

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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A Business provided the following ratios.

	Year ended 31 March		
Ratio	**2023**	**2024**	**2025**
Gross profit percentage	60%	60%	60%
Profit for the year as a percentage of revenue	40%	35%	30%
Return on capital employed	10%	12%	15%

(d) Assess the change in profitability over the three-year period.

(5)

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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(Total for Question 2 = 25 marks)

7. Question 2 · part d · 5 marks · Working and answer

Working and answer

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Practice workbook · Liquidity and working capital

What liquidity and profitability mean and how they differ, reading the current and liquid ratios across years or against a benchmark, judging whether liquidity is adequate and suggesting ways to improve it.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-09

1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

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(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

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(b) Discuss **two** reasons why a business should maintain full accounting records.

(4)

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1. Question 2 · part c · 5 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part c only.

On 31 December 2023, another trader, Louise, provided the following information.

31 December	Current ratio	Quick ratio (acid test)
2022	2.8:1	1.6:1
2023	1.2:1	0.8:1

(c) Evaluate the change in the liquidity of Louise's business over the two years and discuss the implications of this for the business's credit suppliers.

(5)

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(Total for Question 2 = 25 marks)

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1. Question 2 · part c · 5 marks · Working and answer

Working and answer

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

Abel
Income statement for the year ended 31 March 2019

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2. Question 1 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Abel has calculated the following ratios.

	31 March	
Ratio	**2019**	**2018**
Current (working capital)	2.42:1	3.01:1
Liquid (acid test)	0.92:1	1.52:1

(d) Evaluate the change in the liquidity of the business.

(5)

(Total for Question 1 = 25 marks)

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2. Question 1 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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3. Question 1 · part f.ii · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part f.ii only.

(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

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(Total for Question 1 = 25 marks)

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3. Question 1 · part f.ii · 5 marks · Working and answer

Working and answer

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

OLevels.com SCHOOL

4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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OLevels.COM SCHOOL

4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

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(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

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(d) (i) Evaluate the change in liquidity.

(4)

4. Question 2 · part d.i · 4 marks

2020 NOV · Paper 02

Further practice · Attempt part d.i only.

Hyat believes that the liquidity of the business has improved.

(ii) State whether he is correct.

(1)

.....

(iii) Explain **one** way Hyat could improve his liquidity.

(3)

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(Total for Question 2 = 25 marks)

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4. Question 2 · part d.i · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

OLevels.com SCHOOL

5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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OLevels.COM SCHOOL

5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

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(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

OLevels.COM SCHOOL

5. Question 2 · part d.ii · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part d.ii only.

Hyat believes that the liquidity of the business has improved.

(ii) State whether he is correct.

(1)

(iii) Explain **one** way Hyat could improve his liquidity.

(3)

(Total for Question 2 = 25 marks)

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Working and answer

6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

1 Thomas, a manufacturer, provided the following information for the year ended 31 March 2021 after the preparation of the manufacturing account.

	1 April 2020 $	31 March 2021 $
Office equipment		
– Cost	25 000	25 000
– Accumulated depreciation	9 000	12 200
Plant and machinery		
– Cost	200 000	200 000
– Accumulated depreciation	72 000	97 600
Inventories		
– Raw materials	20 000	25 000
– Work in progress	12 000	11 000
– Finished goods	27 500	30 000
Provision for irrecoverable debts	2 500	3 000
Revenue		425 000
Production cost		300 000
Administrative expenses paid		45 000
Carriage outwards		2 745
Office rent paid		24 000
Other payables – office rent		3 000
Other receivables – administrative expenses		5 000
Trade receivables		60 000
Cash in hand		800

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6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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(a) Prepare the income statement for the year ended 31 March 2021.

(11)

Thomas
Income statement for the year ended 31 March 2021

OLevels.com SCHOOL

6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare **an extract** of the statement of financial position at 31 March 2021 showing the **Assets** section only.

(9)

Thomas
Statement of financial position at 31 March 2021

Assets

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OLevels.com SCHOOL

6. Question 1 · part c · 5 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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Thomas provided the following ratios for the years ended 31 March 2020 and 31 March 2021.

Ratio	2020	2021
Current (working capital)	1.8:1	2.2:1
Liquid (acid test)	0.8:1	1.2:1

Thomas stated that his liquidity position has improved.

(c) Evaluate whether liquidity has improved.

(5)

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(Total for Question 1 = 25 marks)

6. Question 1 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

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2 Carl and Ming are in partnership sharing profits and losses equally. The partnership agreement also provided for:

- interest on opening capital at 8% per annum
- interest on total drawings at 9% per annum
- a salary for Ming of $18 000 per annum.

	Balances at 1 April 2021		Year ended 31 March 2022
	Capital Account $	Current Account $	Drawings $
Carl	75 000	3 150	24 000
Ming	50 000	900	26 000

On 1 January 2022 the partnership purchased a machine costing $10 000. This was fully funded by a 10% bank loan.

This transaction has not yet been entered in the books of account.

Depreciation is charged on machinery at 15% per annum using the straight-line method. A full year's depreciation is charged in the year of acquisition.

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(a) Complete the income statement and appropriation account for the year ended 31 March 2022.

(8)

Carl and Ming
Income statement and appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		
Depreciation charge		
Updated profit for the year		
Share of profit		
Carl		
Ming		

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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

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(b) (i) Prepare the current account of Ming for the year ended 31 March 2022.
Balance the account on this date and bring the balance down on 1 April 2022.

(8)

Current Account – Ming

Date	Details	$	Date	Details	$

OLevels.COM SCHOOL

7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.

(ii) State what a **credit** balance on a partner's current account means.

(1)

(iii) State how a **debit** balance on a partner's current account may arise.

(1)

The partners believed that the liquidity of the business had improved and provided the following ratios.

Ratio	2021	2022
Current (working capital)	1.89:1	1.56:1
Liquid (acid test)	0.81:1	1.01:1

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula
Current (working capital)	
Liquid (acid test)	

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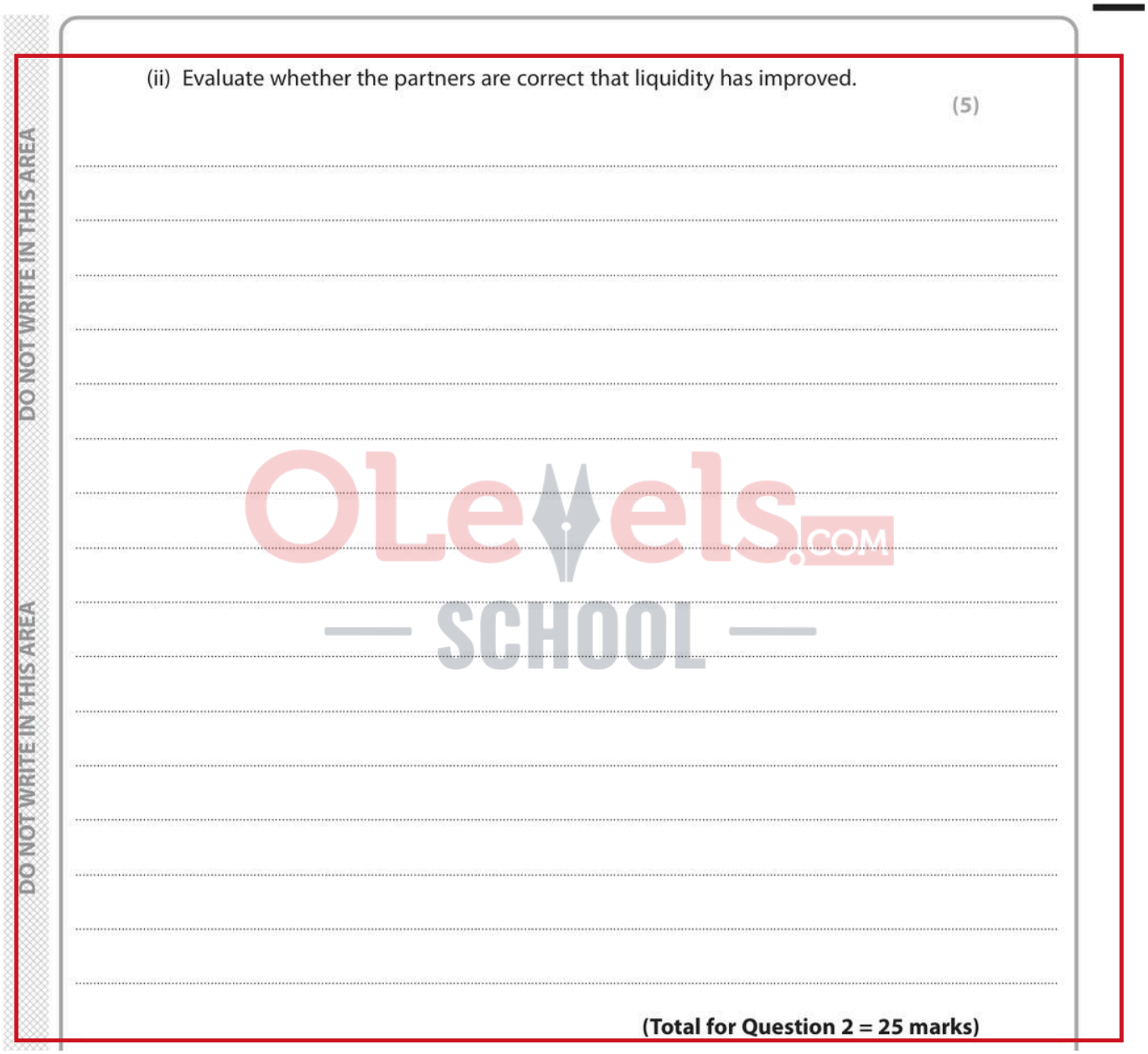
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7. Question 2 · part c.ii · 5 marks

2022 JUN · Paper 02

Further practice · Attempt part c.ii only.



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(ii) Evaluate whether the partners are correct that liquidity has improved.

(5)

(Total for Question 2 = 25 marks)

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7. Question 2 · part c.ii · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

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2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

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8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

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8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

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(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

OLevels.COM SCHOOL

8. Question 2 · part d · 5 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

(c) State **two** accounting concepts that apply when preparing financial statements.

(2)

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

	30 September	
	2021	**2022**
Current (working capital) ratio	2:1:1	2.3:1
Liquid (acid test) ratio	1.2:1	0.8:1

(d) Evaluate the change in liquidity from 2021 to 2022.

(5)

(Total for Question 2 = 25 marks)

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8. Question 2 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

1 Yola, a manufacturer, provided the following information for the year ended 31 March 2023.

	1 April 2022 $	31 March 2023 $
Inventory		
– raw materials	12980	19170
– work in progress	12340	11170
– finished goods	20100	37800
Carriage inwards		1610
Carriage outwards		2390
Electricity		15000
Factory rent paid		69800
Insurance		8000
Other payables – factory supervisor		350
Other receivables – factory rent		12400
Production machinery		
– cost		206500
– provision for depreciation		81000
Purchases – raw materials		186500
Revenue		827500
Royalties		12000
Wages paid		
– production		95600
– factory supervisor		37400
– administration		21500

Production machinery is depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase.

Electricity and insurance are apportioned 70% to the factory and 30% to administration.

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9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

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(a) Prepare, for the year ended 31 March 2023, the:

(i) manufacturing account

(11)

Yola
Manufacturing Account for the year ended 31 March 2023

OLevels.com SCHOOL

9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

(ii) income statement.

(9)

Yola
Income Statement for the year ended 31 March 2023

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9. Question 1 · part b.i · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part b.i only.

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On 1 April 2022 Yola's current (working capital) ratio was 1.8 : 1

On 31 March 2023 the ratio had fallen to 1.1 : 1

(b) (i) Evaluate the change in the current (working capital) ratio over the year.

(2)

(ii) Explain **one** way Yola can improve her working capital position.

(3)

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(Total for Question 1 = 25 marks)

9. Question 1 · part b.i · 2 marks · Working and answer

Working and answer

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10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

OLevels.com SCHOOL

10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

OLevels.COM — SCHOOL —

10. Question 2 · part b.ii · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(c) State **one** difference between profitability and liquidity.

(2)

(d) Explain, referring to a relevant accounting concept, why it is necessary to adjust for other receivables and other payables at the year-end.

(4)

Concept

Explanation

(Total for Question 2 = 25 marks)

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10. Question 2 · part b.ii · 5 marks · Working and answer

Working and answer

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

2 Hyat, a manufacturer, provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Factory machinery		
Cost	40 000	40 000
Accumulated depreciation	14 400	**To be calculated**
Inventory		
Finished goods	4 730	5 180
Work in progress	1 370	1 450
Administration expenses		13 475
Wages and salaries		
Factory indirect		15 000
Office		5 000
Rent, rates and power		
Factory		4 500
Office		1 500
Revenue		68 000

- Factory indirect wages of $250 were owing.
- Administration expenses of $1 750 were paid in advance.
- Depreciation is charged on factory machinery at 20% per annum using the reducing balance method.

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

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Hyat has already calculated the prime cost as shown.

(a) Complete the manufacturing account for the year ended 31 December 2019.

(6)

Hyat
Manufacturing account for the year ended 31 December 2019

	$
Prime cost	**18 750**

OLevels.com SCHOOL

11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

(b) Prepare the income statement for the year ended 31 December 2019.

(9)

Hyat
Income statement for the year ended 31 December 2019

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

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(c) Explain, by referring to an appropriate accounting concept, why it is necessary to adjust for a payment in advance.

(2)

Hyat provided the following ratios.

Ratio	2018	2019
Current (working capital)	1.50:1	1.50:1
Liquid (acid test)	1.02:1	0.85:1

(d) (i) Evaluate the change in liquidity.

(4)

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11. Question 2 · part d.iii · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part d.iii only.

Hyat believes that the liquidity of the business has improved.

(ii) State whether he is correct.

(1)

(iii) Explain **one** way Hyat could improve his liquidity.

(3)

(Total for Question 2 = 25 marks)

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Working and answer

12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

1 Yola, a manufacturer, provided the following information for the year ended 31 March 2023.

	1 April 2022 $	31 March 2023 $
Inventory		
– raw materials	12980	19170
– work in progress	12340	11170
– finished goods	20100	37800
Carriage inwards		1610
Carriage outwards		2390
Electricity		15000
Factory rent paid		69800
Insurance		8000
Other payables – factory supervisor		350
Other receivables – factory rent		12400
Production machinery		
– cost		206500
– provision for depreciation		81000
Purchases – raw materials		186500
Revenue		827500
Royalties		12000
Wages paid		
– production		95600
– factory supervisor		37400
– administration		21500

Production machinery is depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase.

Electricity and insurance are apportioned 70% to the factory and 30% to administration.

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12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

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(a) Prepare, for the year ended 31 March 2023, the:

(i) manufacturing account

(11)

Yola
Manufacturing Account for the year ended 31 March 2023

OLevels.com SCHOOL

12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

(ii) income statement.

(9)

Yola
Income Statement for the year ended 31 March 2023

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OLevels.com SCHOOL

12. Question 1 · part b.ii · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part b.ii only.

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On 1 April 2022 Yola's current (working capital) ratio was 1.8 : 1

On 31 March 2023 the ratio had fallen to 1.1 : 1

(b) (i) Evaluate the change in the current (working capital) ratio over the year.

(2)

(ii) Explain **one** way Yola can improve her working capital position.

(3)

(Total for Question 1 = 25 marks)

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12. Question 1 · part b.ii · 3 marks · Working and answer

Working and answer

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13. Question 2 · part b.i · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b.i only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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13. Question 2 · part b.i · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b.ii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b.ii only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity.

(1)

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14. Question 2 · part b.ii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part b.ii only.

A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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14. Question 2 · part b.ii · 1 mark · Working and answer

Working and answer

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 Bob, a sole trader, provided the following information at 29 February 2024.

	$
Allowance for doubtful debts	346
Bank loan (2028)	10 000
Cash at bank	2 198
Cash in hand	289
Drawings	5 552
Equity – 1 March 2023	30 000
Fixtures and fittings (carrying value)	11 900
Inventory	8 531
Motor vehicles (carrying value)	15 400
Other payables	211
Other receivables	600
Profit for the year	8 083
Trade payables	4 320
Trade receivables	8 490

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(a) Prepare the statement of financial position for Bob at 29 February 2024.

(10)

Bob

Statement of financial position at 29 February 2024

OLevels.com SCHOOL

15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) (i) Calculate Bob's current (working capital) ratio and the liquid (acid test) ratio, stating the formula used. Answers should be given to **two** decimal places.

(4)

Ratio	Formula	Answer
Current (working capital)		
Liquid (acid test)		

(ii) Evaluate **both** ratios and state whether Bob should be satisfied with these figures.

(5)

OLevels.com SCHOOL

15. Question 2 · part c · 2 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) State **one** difference between profitability and liquidity.

(2)

(d) Explain, referring to a relevant accounting concept, why it is necessary to adjust for other receivables and other payables at the year-end.

(4)

Concept

Explanation

(Total for Question 2 = 25 marks)

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15. Question 2 · part c · 2 marks · Working and answer

Working and answer

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